

Quantitative Strategy

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Strategy Title: Value Investing Stock Screen

Target Universe: My Current Watchlist (mega, mid and small cap)

Target Capacity: N/A / My Current Watchlist

Rebalance Frequency: Daily, weekday mornings around the market open

1. Universe Definition & Entry Filter

- **Initial Universe:** My Current Watchlist
- **Cap Focus:** Iterate through my watchlist
- **Security Type:** Screen ordinary equities only. Anything else (ETFs, funds, indices, currencies, futures) is named in the funnel with its type, not silently dropped.
- **Micro-cap Exclusion:** Drop any stock with a market cap below \$300M
- **Pullback Filter:** Remove any stock coming off their 26-week high or within 2%. A name on the prior run's list stays eligible until it comes back within 0.5% of that high, so a stock drifting either side of the line does not enter and exit on price noise.
- **Unscoreable Filters:** Filter tickers that cannot be read from SEC us-gaap XBRL. Covers IFRS-only filers and non-USD reporters.
- **Stale Data:** Any metric whose newest annual filing is more than 800 days old is ineligible to get picked.

2. Sector Routing

- **Financial Sector** are routed to a separate screen due to different business structure. See Section 9.

3. Value & Quality Factor Ranking (Cross-Sectional)

Percentile ranks (0 to 100) against S&P 500 constituents, using the finest peer group large enough to be meaningful: GICS Sub-Industry first, then GICS Sector, then the full universe.

- **EV / EBIT VS 3-Year Median:** Historical years priced using the current share count against split-adjusted prices, so splits do not corrupt the comparison.
- **Free Cash Flow Yield:** Free cash flow divided by market cap.
- **Profitability:** Gross Profit divided by Total Assets. Where a filer publishes no gross profit line, use EBIT divided by Total Assets. The two bases are ranked in separate cohorts, never against each other.

- **Industry/Company News:** Rated 1 to 9 from company headlines
- **Earnings Revision Score:** Percentage change in consensus EPS estimates over the last 3 months.
- **Revenue Growth Stability:** Standard deviation of year-over-year revenue growth.

4. Hard Exclusion Safety Screens

- **Solvency Check:** Interest Coverage Ratio above 2.0.
Liquidity Check: Modified Quick Ratio above 1.0, defined as (Cash + Equivalents + Short-term Investments + Receivables) / (Current Liabilities minus Deferred Revenue).
- **Data Cleaning:** Drop a ticker only if a core ranking metric is missing (Eg. Enterprise Value, EBIT, Free Cash Flow, or the Profitability ratio). Secondary metrics get the sector median or a neutral 50th-percentile rank.

5. Technical & Momentum Indicators

- 50-day and 200-day Simple Moving Averages
- 14-day Stochastic RSI
- MACD line and Signal line
- 9-period and 21-period Exponential Moving Average

6. Weighted Composite 10 Point Scoring Model

- **Fundamentals: 4.0.**
- **Relative Peer Valuation: 3.5**
- **Risk: 2.0**
- **Price Momentum: 0.5**

7. The 9-Point F-Score (Quality Rating)

Profitability (4): ROA > 0 · Operating Cash Flow > 0 · ROA improving · Operating CF > Net Income

Leverage, Liquidity & Funds (3): leverage falling or zero both periods · current ratio improving · no dilution

Operating Efficiency (2): gross margin improving · asset turnover improving

8. The 9-Point V-Score (Discount Rating)

Absolute conditions, so all nine can fail at once. **Each scores 1.0 (Pass), 0.5 (near miss), 0 otherwise.**

Check	Full point	Half point
Historical Value	EV/EBIT < 1.00x its 3-year median	< 1.15x
Absolute Valuation	EV/EBIT < 15 OR < 0.85x own median	< 22 OR < 0.95x
Free Cash Flow Return	FCF yield > 5% OR above own median	> 3% OR > 0.90x
Profitability	> 30%	> 20%
Steady revenue	growth standard deviation < 0.10	< 0.15
Upward Earnings Revisions	revisions > 0	> -3%
Pullback	> 20% below 26-week high	> 12%
Short-Term Oversold	Stochastic RSI < 0.30	< 0.45
News Sentiment	sentiment ≥ 6	≥ 5

Checks 2 and 3 score on a self referential basis.

Backstop: EV/EBIT above 60 caps the total to 5.0 points. (Avoids buying stocks in a bubble)

9. Financials Screen (Parallel Weight)

Scored on their own metrics, ranked only against each other.

- **Valuation (3.5):** Price-to-Book, Price-to-Earnings. P/E only counts when earnings are positive.
- **Fundamentals (4.0):** Return on Equity, Return on Assets, Revenue Growth Stability
- **Risk (2.0):** News sentiment, 90-day volatility, 1-year max drawdown
- **Momentum (0.5):** Same technical indicators
- **Capitalisation Floor:** Equity divided by Assets above 3%
- **6-Point F-Score, gated at 4:** Omits Leverage Trend, Liquidity Trend and Gross Margin Trend, none of which transfer to a balance-sheet business

10. Gate

- **Quality Gate:** F-Score must reach 5 of 9 to qualify.
- **Discount Bar:** V-Score must reach 6.5 of 9 to be recommended.
- **Ranking:** Among names clearing both, rank on the Weighted Composite.
- **Strongest Businesses:** top 5 by F-Score alone
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11. Output

- **Recommendations:** tickers that clear the discount bar get put in a new list and "Strongest businesses" (Section 10) gets reported everyday at 7:AM EST
- **No Contenders:** If nothing clears the bar that week, outputs top contenders and their rating.

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